

White Paper: The Cost of Delayed Debt Placement in Property Management

Overview:

In the property management industry, delaying the placement of tenant debt into collections beyond 360 days significantly limits the chance of successful recovery. This white paper outlines expected recovery rates based on account age and highlights the financial consequences of late-stage placements.

Expected Recovery by Account Age:

- 0-90 days: 25% - 35%
- 91-180 days: 15% - 22%
- 181-360 days: 10% - 15%
- 360+ days: 5% - 9%

Key Drivers of Low Recovery After 360 Days:

- Debtor disengagement due to relocation or lost contact
- Documentation degradation impacting legal leverage
- Cost of skip tracing and legal outweighing recoverable amounts
- Reduced urgency and limited credit reporting pressure

Data Example:

In a recent review of \$107,616.72 in 360+ day owner accounts:

- Total collected was negative (-\$17,239.03), reflecting chargebacks or reversals
- If placed at 60-90 days with a 31% recovery rate, an estimated \$33,361.18 could have been

collected

- Net opportunity cost: over \$50,000 lost by delaying placement

Conclusion:

Earlier placement is not just a best practice-it's a revenue imperative. Transitioning to a 90-day maximum placement policy can more than double recovery outcomes and stabilize portfolio performance.

Recommendation:

Southwest Recovery Services strongly advises implementing a standardized process to identify, review, and place accounts between 60-90 days of delinquency. Doing so will optimize recovery, reduce losses, and build stronger financial partnerships with property owners.